

HEDGEYE DAILY DIGEST

Wednesday, 26 August 2026 (GMT+8)

THE TOP LINE

Hedgeye's message this session was that the S&P 500's headline weakness is disguising a genuine broadening underneath it: **8 of 11 sectors** finished higher and **61% of stocks** were up an average of **+1.2%** on what looked like a down day, with **NVDA, MU** and **AVGO** alone responsible for roughly **-25%** of SPY's move. The bigger macro news was two clean signal reversals — **WTI crude broke from bullish to bearish** on both **TRADE** and **TREND**, while the **UST 2-Year yield flipped back to bullish** above **4.20%**, front-running an expected re-acceleration in August CPI and materially weakening the Treasury steepener thesis. Keith McCullough's Quad count stays **3-1-2**, and he is positioning into **September #Quad1** with Healthcare, equal-weight equities, Software, small-cap value and High Yield credit — explicitly not Semis or high-beta momentum.

Grouping note: Hedgeye publishes on US Eastern time. "Today" covers the Tuesday, 25 August EDT session, which reaches GMT+8 readers overnight into Wednesday 26 August. "Yesterday" covers the Monday, 24 August EDT session.

TODAY'S PUBLICATIONS

EARLY LOOK — "Broadening Continues Into #Quad1"

Keith McCullough · 25 Aug 2026, 07:59 EDT

McCullough opened with Dusty Baker's memoir **Crossroads** and the line about a high-school coach named McCullough being hard on him "because he knew I needed that" — a framing device for the note's real argument, which is about coaching a process rather than protecting a portfolio from every obstacle. His question to readers: who is coaching your decision-making as a Full Cycle Investor, and do they actually understand how daily flows and signals move positioning?

The market substance is the broadening thesis. Tuesday was the market's **fourth down day in six**, but McCullough argues it should not have hurt much: **8 of 11 S&P sector styles were up**, and **61% of stocks rose an average of +1.2%**. **Financials (XLF)** led gainers at **+1.3%** after bouncing off the low end of its Risk Range, and **Healthcare (XLV)** held its August league lead with a **+7.5%** month-to-date sector style return. The damage was concentrated: **widely-held Tech (XLK)** fell **-1.8%**, and **NVDA, MU and AVGO together carried a -25% negative impact on SPY**.

On **NVDA** specifically, McCullough noted it traded down on over **135 million shares** and closed right at Hedgeye's **TREND signal level of \$208**, with a refreshed Risk Range of **\$192-230**. Because Hedgeye holds no long or short position in Semis, he framed NVDA's earnings as low-stakes for his book — mildly bullish if it holds **TREND** simply because it is US equity beta, but far less important than **SPX staying in The Investable Bucket**.

Investment implication: the **TRR for SPX's Risk Range** sits at **7825** and **all-time highs remain in play** — presented not as a price target but as the output of the process. The **Quad count remains 3-1-2**, and Hedgeye is playing the **#Quad1 tickers** now rather than defending last cycle's winners.

Risk Range™ Signals — 25 August 2026

ASSET	RISK RANGE	TREND
10Y US Treasury Yield (UST10Y)	4.63 - 4.74	Bullish
High Yield (HYG)	79.47 - 79.82	Bullish
Inv. Grade Corp Bonds (LQD)	105.4 - 106.6	Bearish
S&P 500 (SPX)	7601 - 7825	Bullish
NASDAQ Composite (COMPQ)	25806 - 26422	Neutral
Russell 2000 (RUT)	2975 - 3076	Bullish
Health Care (XLV)	168 - 178	Bullish
S&P 500 Equal Weight (RSP)	220.00 - 225.00	Bullish
Tech-Software (IGV)	100.00 - 106.00	Bullish
Shanghai Composite (SSEC)	3837 - 3971	Bearish
Nikkei 225 (NIKK)	64708 - 69201	Bullish
German DAX (DAX)	25883 - 26510	Bullish
Volatility Index (VIX)	13.90 - 16.63	Bearish
US Dollar Index (USD)	98.31 - 99.77	Bearish
WTI Crude (WTIC)	80.13 - 87.05	Bearish
Natural Gas (NATGAS)	2.64 - 2.83	Bearish
Gold Spot (GOLD)	4340 - 4702	Bullish

THE MACRO SHOW — Summary Notes, Tuesday 25 August

Keith McCullough & Daryl Jones · 25 Aug 2026, 10:14 EDT

Bullish mentions: RSP, XLV, IGV, JPM, HYG, ENZL, Gold (AAAU), EUR, JPY, SharkNinja (SN). **Bearish:** USD, WTIC.

The single biggest new signal was **WTI breaking from bullish to bearish on both TRADE and TREND**. McCullough described it as the mirror image of the earlier bearish-to-bullish transition: once both levels broke, downside momentum accelerated. The updated **WTI Alpha Code is 84/83** — TRADE at **\$84**, TREND at **\$83**. He tied this straight to the bond setup: broader commodity inflation is still elevated, with several **food commodities up roughly 10-20% over the past month**, but falling oil should relieve some pressure on long-end yields.

Second, the **UST 2-Year yield returned to bullish TRADE and TREND** after reclaiming the **4.20% TRADE** level. McCullough reads this as the market front-running a **re-acceleration in year-over-year CPI** — the August report lands in roughly two weeks — which would push rate-cut odds down and revive talk of hikes. The direct consequence is that the **bullish Treasury steepener loses signal strength**; he said the setup is now “less good for a steepening” and that he is likely to change the position, without confirming the specific adjustment.

On equities, he was explicit that the **broadening is what he wants to own**, not Semis and not high-beta momentum — which fell another **~3.5%** and which Hedgeye is not long. He is **long Software (IGV)**, **owns RSP**, and **owns Healthcare (XLV)** at roughly **+7.5% for August**, while the Nasdaq and broader Tech

complex keep producing lower highs. **Small caps and the VIX sit in the “Investable” volatility bucket; Nasdaq vol remains in “Chop.”**

Quad 1 positioning is expanding: Hedgeye is now **long High Yield credit**, grouped with the broader Quad 1 playbook of **small-cap value, highly shorted equities and lower-quality/high-yield credit** — but with the caveat that the bullish TREND signal must come first, and factor characteristics alone are insufficient. **SharkNinja (SN)** remains bullish; he sold some into strength via Real-Time Alerts and would buy it back on a down day.

Globally, **Japan's Nikkei returned to bullish TRADE and TREND; South Korea remains below both levels and Hedgeye is not long it. New Zealand (ENZL)** is an explicit long and made a new high. The **Philippines** is a weaker holding that needs to hold its TRADE level, and **Brazil was already exited.**

In FX and commodities, positioning is **short US Dollar, long Gold, long Euro, long Japanese Yen**. Gold, silver and copper were correcting on the day but all remain **bullish TRADE and TREND** — no directional change. On **Bitcoin**, McCullough covered his shorts before the rally and currently holds **no position**, waiting for a down day rather than chasing after the bearish-to-bullish transition; he characterised the surge in activity as evidence of FOMO, not a reason to abandon process.

On **NVDA**, implied volatility moved from roughly a **7% discount to a ~10% premium** ahead of earnings — substantially more demand for event protection. TRADE at **218** is broken, TREND holds at **208**, range **192-230**. His chosen action is **deliberately nothing**. A post-earnings recovery through **218** could create a new long setup toward **230**, with 218 as the stop — a conditional scenario, not a position.

MOMO TRACKER — “The 3-1-2 Quad Shift Is Rotating Leadership Away From the Old Winners”

Christian Drake & Ryan Ricci · 25 Aug 2026, 07:28 EDT

The tracker is a chart-and-data dashboard rather than a narrative note, and the substance sits in the exhibits. The headline carries the call: the **3-1-2 Quad shift** is actively rotating momentum leadership away from the prior cycle's winners — consistent with the Early Look's evidence of **Financials and Healthcare strengthening while Tech and Semis lag**. The tracker uses the Risk Range signals as published that morning and does not reflect intraday updates.

CAPITAL ALLOCATION PRO — Daily Dashboard, Model Portfolios

Robert McGroarty, Andrew Nanai & David Salem · 25 Aug 2026, 08:39 EDT

No new model portfolio changes today. The most recent changes went into effect using closing prices on **Wednesday, 19 August 2026**. TREND and TAIL levels for the **68 ETFs** in the universe were last refreshed using **31 July** closing prices, on the standard 3-4 week update cycle. The **August 2026 Monthly Commentary** was posted 5 August and the latest **Key Callouts video** was recorded 6 August.

ETF PRO PLUS — 6 New Changes

25 Aug 2026, 10:45 EDT

A meaningful real-time update, and one that lines up directly with the macro signal changes on the Macro Show.

Adding Long: Oil Services (OIH), Silver (SLV).

Adding Short: EM Infrastructure (EMIF), META Option Income (FBY), US Treasury Long (ZROZ).

Removing Long: Dividend Growers (SMDV) — range 75.48 - 79.33.

The **short on ZROZ** is the one to note: adding a short in long-duration Treasuries is the portfolio expression of the 2-Year yield turning bullish and the inflation re-acceleration call.

SIGNAL STRENGTH STOCKS — 85 Stocks (5 Added, 0 Removed)

25 Aug 2026, 14:25 EDT

Added: KDP, CRCL, TGT, DG, EVER. Removed: None. The list rebuilt from **80** the prior afternoon back to **85**. Notable that the additions skew **consumer staples and discretionary defensives** — **Keurig Dr Pepper, Target, Dollar General** — rather than Tech, which is the same broadening signal the Early Look described, showing up at the single-stock level.

YESTERDAY'S PUBLICATIONS

EARLY LOOK — “Dollar Down, Reflation Up”

Ryan Ricci · 24 Aug 2026, 07:01 EDT

What: The Monday Early Look, opening on Milton Friedman and built around the short-Dollar trade as the factor “getting us paid.”

Why: The **US Dollar remains in bearish TREND**, and its correlations are doing the work — **-0.70 to Gold (15-day)** and **-0.89 to Bitcoin**. That single position radiates into the reflation complex across commodities, FX and EM equities.

Who: Long **EUR/USD**, long **USD/JPY**, long **Colombia (COLO)**, long **Gold**, long **Lumber (WOOD)**, long **Copper Miners (ICOP)**, long **Healthcare (XLV, FXH)**, long **Software (IGV)**, short **Utilities (XLU)**. No position in **EWY** or Semis into NVDA earnings.

Key numbers: USD **-0.87%**; EUR/USD **+0.79%** on the week, **+1.5%** on the month; Colombian Peso **+3.09%** on the week and **+12.8%** on the quarter; Korean Won **+2.3%**; Gold **+5.3%** on the week; Bitcoin **+24%**; Oil **+6.9%**; Copper Miners **+11%**; Sugar **+6.1%**; Corn **+5.2%**; Lumber **+1.06%**. **UST 10Y +4bps, UST 2Y +6bps and now bullish TREND**. September rate-hike odds at **31%**, down from a peak of **58%**. Healthcare **+7.4%** on the month vs SPY **+2.5%**. High-beta momentum basket **-10.5% WoW**. Polymarket odds that Strait of Hormuz traffic normalises by December have fallen to near their low of **34%** from **62%** in August; odds of a US invasion of Iran before 2027 sit at their low of **17%**.

Takeaway: Short the Dollar, own the reflation, and expect **August headline inflation (reported 9/11) to accelerate** into the **16 September** Fed meeting. Volatility remains in the **investable bucket** across VIX, Nasdaq vol and Russell vol.

FROM THE DESK — KM's Top 3 Things (KOSPI / Gold / Sectors)

Keith McCullough · 24 Aug 2026, 06:30 EDT

What: McCullough's three highest-conviction Big Macro breakdowns and breakouts to trade around the Quad shift.

Why: Each of the three is a signal-level event, not a narrative call — a broken TRADE line, a fresh breakout, and a sector-pair working.

Who: KOSPI, Gold, XLV vs XLU.

Key numbers: KOSPI broke its immediate-term **TRADE level of 6796**, down **-3.1%** on the day and now **-26.6%** from its #MOAB cycle peak. **Gold** up another **+0.8%**, Risk Range **\$4403-4694**, bullish TRADE and TREND after the July-August Quad shift. **XLU** — the only sector short — down **-2.3%** on Friday and **-3.6%** for August, having been a long during July's Quad 4. **XLV** up **+1.3%** Friday to **+7.4%** in August, worth **+1,100bps** of relative performance over XLU in just over three weeks. Immediate-term ranges: **SPX 7617-7824**, **UST 10Y 4.65-4.75%**.

Takeaway: Choosing no position in **EWY** or Semis into **NVDA** is itself a position; keep buying Software dips instead, and Gold is the biggest new breakout in Big Macro.

THE MACRO SHOW — Summary Notes, Monday 24 August

Sam Rahman & Daryl Jones · 24 Aug 2026, 10:11 EDT

What: A portfolio-construction discussion led by HAM PM Sam Rahman, centred on a major rotation out of semis into software.

Why: Rahman has flipped his book over roughly **1.5-2 months** — from **6-7 semi/hardware names and 1-2 software names** to **two semis and roughly 6-8 software names** — driven by market behaviour and by concerns about **AI financing structures**, particularly circular arrangements where chip suppliers invest in customers who then buy their chips.

Who: Bullish mentions **XLV, IGV, NVDA, MRVL, AMZN, MSFT**; bearish **XLU**. Negative view (not a stated short) on **META**.

Key numbers: NVDA data-centre revenue could approach **roughly double** year-ago levels, with tailwinds from the **Vera Rubin** transition, hyperscaler purchasing, incremental **SpaceX** AI-infrastructure demand, and **~15% price increases** on chips and servers next year amid memory inflation. Meta's core ad business runs **40-45% operating margins**, but the AI buildout raises questions about capex, margins and whether Meta ends up a fourth- or fifth-tier compute player. Gold Risk Range **\$4,403-4,694**.

Takeaway: Be bullish the AI technology and cautious on the financing. Rahman deliberately keeps NVDA small into a binary earnings event. Daryl also flagged **month- and quarter-end positioning risk** — high-beta hit far harder than low-beta, hedge funds covering shorts and closing books, thin late-August volume, and the continuing unwind of a large hedge-fund portfolio reportedly taken over by **Citadel**.

SIGNAL STRENGTH STOCKS & ETF PRO — 24 August

24 Aug 2026, 09:05 & 14:56 EDT / 13:08 EDT

What: Two Signal Strength updates and one ETF Pro change.

Key numbers: The morning list held at **86 stocks (0 added, 0 removed)**; the afternoon update cut it to **80 stocks (0 added, 6 removed)**. One ETF Pro change was published at 13:08 EDT.

Takeaway: The afternoon purge of six names, followed by five additions the next day, is the churn you would expect mid-Quad-shift as leadership rotates rather than a wholesale risk reduction.